

- Return of equity comprises PAT which gets affected due to changes in the income statement and equity gets affected due to changes in the balance sheet.

Return on equity can also be obtained directly multiplying by Net Margin, Asset Turnover, and Financial Leverage. We can look at the upward trend of these three and see that the business quality is improving.

Let's move on to the cash flow ratios, now that we have seen the strength of balance sheet efficiency and profitability.

## 5. Cash Flow Ratio

Is the company able to generate cash? The business may be making large profits, but let's say that if those profits are not being converted into cash as the sales are mainly credit. So we need to ensure that profits translate into cash. The business itself will be in trouble and constantly require more money if the profits are not converting to cash.

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